AQA

A-Level
Economics

7136/2 Paper 2 National And International Economy
Predicted Paper Final Mark scheme

7136
Predicted Paper

Version/Stage: v1.0 [Set A — Moderate]

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Assessment Writer.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

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This is a predicted paper intended for revision purposes only. It is not an official AQA publication. The mark scheme follows the style and structure of AQA published materials to support realistic practice.

Annotations

Annotation	Description
?	Unclear
AN	Analysis
APP	Application
BOD	Benefit of the doubt
EVAL	Evaluation
Highlight	Highlight
IR	Irrelevant
KU	Knowledge and understanding
NAQ	Not answered question
REP	Repetition
SEEN	Indicates that the point has been noted, but no credit has been given.
Tick	Correct point
Cross	Incorrect point

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 — Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best-fit approach for defining the level and then use the variability of the response to help decide the mark within the level.

Step 2 — Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Levels of response marking grid — 25-mark questions

The following generic grid should be used when marking all 25-mark questions (questions 0 4, 0 8, 1 0, 1 2 and 1 4 on paper 7136/2).

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which is, at best, very weak • includes attempted analysis which is weak and unsupported.	1–5 marks

Section A

Context 1 **Total for this Context: 40 marks**

UK monetary tightening and the disinflation cycle

0 1 Using the data in Extract A (Figure 1), calculate the percentage-point change in the UK Bank Rate between the end of 2021 and the end of 2023. **[2 marks]**

Calculation:

5.25 – 0.25 = **5.00 percentage points** (increase)

Response	**Max 2 marks**
For the correct answer (5.00 percentage points (5pp increase)) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown.	1 mark

0 2 Explain how the data in Extract A (Figure 1) show that UK households experienced a fall in their real incomes during the period 2021–2023. **[4 marks]**

Response	**Max 4 marks**
• includes evidence that clearly shows that UK households experienced a fall in their real incomes during 2021–2023. • clearly explains how this data is evidence that UK households experienced a fall in their real incomes during 2021–2023.	4 marks
• includes evidence that shows that UK households experienced a fall in their real incomes during 2021–2023. • unclear explanation of how this data is evidence that UK households experienced a fall in their real incomes during 2021–2023.	3 marks
• includes evidence that shows that UK households experienced a fall in their real incomes during 2021–2023. • limited or no explanation of how this data is evidence that UK households experienced a fall in their real incomes during 2021–2023	2 marks
• includes evidence that does not clearly show that UK households experienced a fall in their real incomes during 2021–2023. • weak or no explanation.	1 mark

Relevant issues include:

- definition of real wages / real incomes — money income adjusted for changes in the price level
- real wage growth was negative for three consecutive years: -0.4% (2021), -3.1% (2022) and -1.0% (2023)
- CPI inflation peaked at 9.1% in 2022, outstripping nominal wage growth and cutting real purchasing power
- cumulative real wage loss across the three years was around 4.5% — the longest sustained fall since records began
- falling real incomes reduce household consumption and welfare

0 3 Extract B states that the Bank of England raised Bank Rate in response to surging inflation. With the help of an AD/AS diagram, explain how an increase in the Bank Rate is likely to reduce the rate of inflation in the UK. **[9 marks]**

Levels of response marking grid — 9-mark questions

The following generic grid should be used when marking all 9-mark questions in Section A (questions 0 3 and 0 7).

Level of response	Response	Max 9 marks
3	• is well organised and develops one or more of the key issues that are relevant to the question • shows sound knowledge and understanding of relevant economic terminology, concepts and principles • includes good application of relevant economic principles and/or good use of data to support the response • includes well-focused analysis with a clear, logical chain of reasoning • includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7–9 marks
2	• includes one or more issues that are relevant to the question • shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and/or data to the question • includes some reasonable analysis but it might not be adequately developed and may be confused in places • may include a relevant diagram.	4–6 marks
1	• is very brief and/or lacks coherence • shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • demonstrates very limited ability to apply relevant economic principles and/or data to the question • may include some very limited analysis but the analysis lacks focus and/or becomes confused • may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1–3 marks

Suggested diagram:

An AD/AS diagram is expected. Axes: price level / real GDP. Downward-sloping AD curve, upward-sloping SRAS curve, vertical LRAS. Initial equilibrium at PL1, Y1. Higher Bank Rate shifts AD leftward to AD', giving a new equilibrium at PL2 < PL1 and Y2 < Y1. The fall in the price level demonstrates the disinflation effect. Candidates should be credited for showing the mechanism clearly, whether using a Keynesian or classical AD/AS framework.

Relevant issues include:

- definitions of monetary policy, Bank Rate, aggregate demand, inflation
- the transmission mechanism from Bank Rate to AD: higher interest rates raise the cost of borrowing (mortgages, business loans), reducing consumption (C) and investment (I)
- higher rates strengthen sterling (capital inflows seeking higher returns), reducing net exports (X – M) via more expensive UK exports and cheaper imports
- asset-price channel: higher rates reduce house prices and equity valuations, creating negative wealth effects on consumption
- reduced AD shifts the curve leftward, lowering equilibrium price level and output (at least in the short run)
- the MPC's 2% CPI inflation target provides the rationale for the rate rise
- application: UK experience — CPI fell from 11.1% (Oct 2022) to 4.0% (Dec 2023) as Bank Rate rose to 5.25%

• recognition that long and variable lags mean effects take 12–18 months to appear fully

0 4 Extract C states that 'Supply-side inflation drivers... are arguably less responsive to demand-management tools...' Use the extracts and your knowledge of economics to evaluate the effectiveness of monetary policy as a tool for controlling inflation in the UK. **[25 marks]**

Areas for discussion include:

- the case for monetary policy as effective: empirical evidence from the 2022–24 episode — CPI fell from 11.1% to close to target as Bank Rate rose; demonstrates the MPC's ability to anchor inflation expectations
- diagrammatic analysis of the transmission mechanism (as in Q03)
- UK household debt-to-income over 130% (Extract C) amplifies the effect of small rate changes
- the operational independence of the Bank of England (since 1997) enhances credibility and lowers the inflation premium in long-term interest rates
- the case against sole reliance on monetary policy:
- (i) long and variable lags — the 2022 tightening acted fully only through 2023–24; 1.6 million mortgages due to refinance in 2024 represent delayed transmission (Extract C)
- (ii) ineffectiveness against supply shocks — the 2022 inflation was largely driven by global energy prices and supply-chain bottlenecks, which are not directly responsive to rate rises
- (iii) distributional effects — younger households with high mortgage debt bear the largest cost; older households with savings may benefit (Extract C)
- (iv) impact on growth and unemployment — the 2022–24 tightening was associated with near-recession conditions and contributed to a cumulative real wage loss
- alternative / complementary tools: fiscal policy (to offset the regressive effects of monetary tightening or reduce inflation via lower aggregate demand); supply-side policies (productivity, energy market reform); exchange rate intervention
- the importance of anchoring inflation expectations — credibility and communication are arguably as important as the rate change itself
- international dimension: similar tightening cycles in the US, Eurozone and other advanced economies; UK cannot easily deviate from international rate cycles without exchange-rate consequences
- quantitative tightening (QT) as a complement to rate rises

Evaluation / judgement:

- monetary policy is the principal tool for controlling inflation in the UK, with an empirical track record of effectiveness
- but it is blunt, lagged and has significant distributional consequences
- effectiveness is weaker against supply-driven inflation and may require complementary instruments
- strongest answers weigh the tool's benefits against its costs and limits, and reach a supported judgement

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section A

Context 2 **Total for this Context: 40 marks**

UK fiscal policy and government debt

0 5 Using the data in Extract D (Figure 2), calculate the percentage change in UK government debt interest spending between 2018/19 and 2024/25. Give your answer to one decimal place. **[2 marks]**

Calculation:

(104 – 48) / 48 × 100 = 56 / 48 × 100 = **116.7%** (increase)

Response	**Max 2 marks**
For the correct answer (116.7% (increase)) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown.	1 mark

0 6 Explain how the data in Extract D (Figure 2) suggest that the UK government's fiscal position has become more constrained since 2018/19. **[4 marks]**

Response	**Max 4 marks**
• includes evidence that clearly shows that the UK government's fiscal position has become more constrained since 2018/19. • clearly explains how this data is evidence that the UK government's fiscal position has become more constrained since 2018/19.	4 marks
• includes evidence that shows that the UK government's fiscal position has become more constrained since 2018/19. • unclear explanation of how this data is evidence that the UK government's fiscal position has become more constrained since 2018/	3 marks
• includes evidence that shows that the UK government's fiscal position has become more constrained since 2018/19. • limited or no explanation of how this data is evidence that the UK government's fiscal position has become more constrained since 2	2 marks
• includes evidence that does not clearly show that the UK government's fiscal position has become more constrained since 2018/19. • weak or no explanation.	1 mark

Relevant issues include:

- net debt has risen from 80.7% of GDP (2018/19) to 97.1% (2024/25) — close to 100% of GDP, constraining fiscal room for manoeuvre
- debt interest spending has more than doubled from £48bn to £104bn — now exceeding the defence budget
- public sector net borrowing remains elevated at £87bn in 2024/25 despite rising tax revenue
- tax revenue has risen from 32.8% to 36.4% of GDP — the highest in decades — yet borrowing remains high, indicating the structural challenge of rising spending commitments
- higher interest rates have compounded the debt-servicing burden, crowding out discretionary spending

0 7 Extract E states that 'without further fiscal consolidation, debt will continue to rise...' With the help of an AD/AS diagram, explain how an increase in government spending, financed by borrowing, may affect UK real GDP and the price level in the short run. **[9 marks]**

Suggested diagram:

An AD/AS diagram is expected. Higher government spending (G) shifts AD rightward to AD'. Equilibrium moves from PL1, Y1 to PL2, Y2, with both price level and real GDP higher in the short run. In a Keynesian diagram with an upward-sloping SRAS (especially as the economy approaches full capacity), the price-level rise will be larger and the output rise smaller. Near full employment (close to LRAS), most of the effect is inflationary. Credit answers that show the multiplier effect: $\Delta AD > \Delta G$ because of induced consumption from extra income.

Relevant issues include:

- definition of fiscal policy, government spending, aggregate demand
- AD = C + I + G + (X – M); an increase in G raises AD directly
- the multiplier effect: the initial rise in spending creates income for recipients, who in turn spend a proportion (MPC) on further consumption — amplifying the AD shift
- short-run effect on real GDP: higher output and employment, especially where the economy has spare capacity
- short-run effect on price level: rising price level as AD shifts right, with size of effect depending on the slope of the SRAS curve
- near full employment (close to LRAS), the effect is primarily inflationary with little output gain
- financing via borrowing means no immediate offsetting tax rise, so no direct negative effect on C
- but bond-market response may raise long-term interest rates ('crowding out' concern) — qualifying the simple multiplier analysis
- UK-specific context: 2022 "mini-budget" episode showed the bond-market risk

0 8 Extract F states that 'Keynesian economists argue... government borrowing to fund productive public investment can raise long-run growth and improve the debt-to-GDP ratio over time.' Use the extracts and your knowledge of economics to evaluate the view that the UK government should prioritise reducing its debt-to-GDP ratio over stimulating economic growth. **[25 marks]**

Areas for discussion include:

- the case for prioritising debt reduction: crowding out of private investment; higher long-term interest rates; intergenerational burden of debt service; bond-market credibility (Truss 'mini-budget' episode); the risk of rising interest costs squeezing other spending
- evidence: debt interest now above £100bn, exceeding the defence budget (Extract E)
- the case for prioritising growth-supporting borrowing: productive public investment (infrastructure, R&D;, education, housing) can raise long-run potential output and therefore the debt-to-GDP ratio over time via higher GDP
- Keynesian argument: with private investment depressed, public investment can crowd IN rather than OUT private activity
- evidence: UK business investment at historic lows (9.6% of GDP) and productivity stagnant since 2008 — suggests demand-side support is needed
- distinction between current and capital spending: the real issue is the quality, not the quantity, of public spending
- fiscal rules: the current UK rule requires debt to be falling in year 5 — flexibility depends on credibility of the rule
- demographic pressures: ageing population implies rising health and pension spending without action, making debt reduction harder
- net-zero requires large investment that could be debt-financed with long-run growth benefits
- government failure risks: political cycles tend to favour short-term spending over long-term investment; pork-barrel risks
- international comparison: UK debt-to-GDP is comparable with other G7 economies (Germany c. 65%, France c. 110%, Italy c. 140%, US c. 120%) — context matters
- role of inflation: higher nominal GDP growth helps reduce debt-to-GDP via the denominator

Evaluation / judgement:

- the question presents a false dichotomy: productive investment funded by borrowing can, in principle, do both
- the appropriate balance depends on the quality of public investment, the growth elasticity of output, and bond-market conditions
- strongest answers distinguish between current spending (less justified by borrowing) and capital spending (more justifiable), and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section B

Levels of response marking grid — 15-mark questions

The following generic grid should be used when marking all 15-mark questions in Section B (questions 0 9, 1 1 and 1 3).

Level of response	Response	Max 15 marks
3	A good response that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

Essay 1 — Total for this Essay: 40 marks

0 9 Explain, with the aid of a diagram, how supply-side policies can increase the long-run potential output of the UK economy. **[15 marks]**

Areas for discussion include:

- definition of supply-side policies — measures to raise the productive capacity of the economy
- AD/LRAS diagram showing an outward shift in LRAS from LRAS1 to LRAS2; price level falls and real GDP rises at full employment
- market-based supply-side policies: tax cuts (income tax, corporation tax) to increase incentives; deregulation; privatisation; labour market flexibility
- interventionist supply-side policies: public investment in infrastructure; education and skills; R&D; subsidies; active labour market policies
- UK policy examples: R&D; tax credits, apprenticeship levy, T-levels, HS2, Full Expensing capital allowances
- effects on the four factors of production: quantity (more labour, more capital) and quality (higher skills, better technology)
- supply-side policies raise the productive potential — shifting both LRAS and the PPF outward

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

1 0 Evaluate the view that supply-side policies are always more effective than demand-side policies in raising the UK's long-run rate of economic growth. **[25 marks]**

Areas for discussion include:

- the case for supply-side policies: raise potential output; sustainable as they don't just move the economy along existing LRAS; address the UK's weak productivity (0.4% p.a. since 2008)
- examples: UK R&D; tax credits, Full Expensing, apprenticeships — successful interventions with measurable impact on productivity
- the case for demand-side policies: can raise actual output when there is a negative output gap; stimulate investment, which itself boosts LRAS in the long run (hysteresis effect)
- Keynesian view: in a demand-deficient economy (like UK post-2008), demand-side policies can be essential to avoid permanent loss of potential output
- supply-side policies often take years to deliver — infrastructure, education, R&D; have long lags
- supply-side policies have distributional consequences: tax cuts typically favour higher earners; regulatory reform can harm workers; need to weigh against equity considerations
- evidence from UK: decades of supply-side reform but weak productivity — suggests implementation matters, not just policy type
- interaction: demand-side stimulus can crowd in private investment (supply-side effect); supply-side reforms without demand may simply raise output gap
- monetary policy credibility (Bank of England independence, 2% inflation target) has supply-side effects via lower inflation premium in borrowing costs
- specific UK weaknesses that supply-side policy struggles to address: regional inequality, housing cost, transport, skills — many require active demand-side and distributional policy
- government failure risks in BOTH types of policy

Evaluation / judgement:

- the claim "always more effective" is too strong — the relative effectiveness depends on the nature of the growth constraint (demand-deficient vs supply-constrained)
- in practice, successful growth strategies combine demand-side stability with supply-side investment
- strongest answers distinguish between short-run and long-run growth and reach a reasoned judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 2 — Total for this Essay: 40 marks

1 1 Explain the main causes of unemployment in the UK economy. **[15 marks]**

Areas for discussion include:

- definitions: unemployment (ILO measure), the claimant count; distinction from economic inactivity
- cyclical (demand-deficient / Keynesian) unemployment: deficient AD, e.g. post-2008 recession, Covid-19 lockdowns
- structural unemployment: mismatch of skills / location between workers and available jobs; long-term industrial change (e.g. decline of coal, manufacturing; automation)
- frictional unemployment: workers between jobs; a feature even of healthy labour markets
- seasonal unemployment: e.g. tourism, agriculture
- real-wage / classical unemployment: wages above the market-clearing level; e.g. via regulation or unions
- voluntary unemployment: those choosing not to work at current wage
- recent UK experience: unemployment has been low (c. 4%) but economic inactivity has risen above 9 million, driven largely by long-term sickness — a structural challenge
- regional variation: higher unemployment in older industrial areas, northern regions; reflects structural and geographical issues
- interaction with benefits: unemployment trap if marginal tax-and-benefit withdrawal is too steep

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

1 2 Evaluate the view that government intervention to reduce unemployment in the UK should focus on increasing the demand for labour rather than on improving its supply. **[25 marks]**

Areas for discussion include:

- demand-side policies: expansionary fiscal and monetary policy to raise AD and therefore derived demand for labour
- successful examples: UK furlough scheme during Covid-19 preserved employment; quantitative easing post-2008 supported labour market recovery
- limits of demand-side policy: effective against cyclical unemployment but blunt against structural unemployment; may simply raise inflation if structural barriers prevent workers filling vacancies
- supply-side policies for labour: skills and training; active labour market programmes; benefit reforms (in-work credits, Universal Credit tapers); childcare support; reform of disability and incapacity benefits
- UK-specific context: the challenge of 9.3m economically inactive adults — largely not reached by demand-side policy alone
- evidence: UK has had historically low unemployment since 2013 despite weak growth — suggests structural constraints now dominate
- regional dimension: many unemployed workers are geographically concentrated — requires regional policy (levelling up) alongside demand stimulus
- trade-offs: excessive demand stimulus near full employment can trigger wage-price spirals (as in 2022–23)
- policy mix: demand-side stabilisation + supply-side reform typically most effective
- international evidence: Nordic countries combine active labour market programmes with flexible firing rules — shows the importance of institutional design
- behavioural considerations: welfare-to-work programmes work best with supportive infrastructure (transport, childcare, health)

Evaluation / judgement:

- the appropriate balance depends on the type of unemployment being targeted
- with UK unemployment already low but inactivity high, the marginal return on supply-side policy may be higher than on further demand stimulus

- strongest answers distinguish between types of unemployment and tailor their judgement to the UK's current position

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 3 — Total for this Essay: 40 marks

1 3 Explain the main causes of a current account deficit on the UK balance of payments. **[15 marks]**

Areas for discussion include:

- definition of the current account: trade in goods, trade in services, primary income (investment income and labour income), secondary income (transfers)
- definition of a current account deficit: X – M + net income + net transfers < 0
- weak price competitiveness: high unit labour costs relative to trading partners
- weak non-price competitiveness: quality, design, marketing, reliability issues
- exchange rate effects: overvalued sterling can raise import demand and hurt exports
- high domestic demand: strong consumer spending sucks in imports (UK has high MPM)
- structural factors: UK's narrow export base in goods, strong services surplus partially offsetting goods deficit
- global demand patterns: weak growth in trading partners reduces export demand
- savings-investment imbalance (twin-deficits logic): if domestic saving is below investment needs, the shortfall is financed by capital inflows and mirrored in a current account deficit
- sterling's reserve currency status: capital inflows finance the deficit, allowing it to persist
- UK-specific: services surplus (financial, legal, creative services) offsetting goods deficit; Brexit-related trade friction

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

1 4 Evaluate the view that a persistent current account deficit is a serious economic problem that requires urgent government action to correct. **[25 marks]**

Areas for discussion include:

- the case for concern: persistent deficit reflects weak competitiveness; financing requires capital inflows that can reverse (sudden stops); rising net international liabilities transfer future income to foreigners
- examples of deficit-triggered crises: Greece (2009–2015), Argentina (2001), Thailand (1997) — each preceded by large current account deficits
- the UK has run persistent deficits since 1984 without crisis — sterling's reserve currency status, deep capital markets, and confidence in institutions allow sustained financing
- the case for 'benign' interpretation: deficit reflects the UK's comparative advantage in services and position as a capital importer; high investment rates funded by foreign savings can boost growth
- the autonomous vs accommodating view: is the deficit driven by competitiveness problems (autonomous — problematic) or by the savings-investment imbalance / capital flows (accommodating — less problematic)?
- policy options: exchange rate depreciation; supply-side reform of export competitiveness; contractionary demand management to reduce import demand; protectionism (has costs)
- Marshall-Lerner condition: depreciation only improves deficit if sum of export and import elasticities exceeds 1 — may not hold in short run (J-curve)
- evidence post-2016: sterling depreciation did not dramatically reduce the deficit — structural competitiveness matters more than exchange rate
- costs of correction: demand compression reduces growth and employment; supply-side reform takes years
- distributional consequences of correction: usually bears most heavily on wage-earners in tradable sectors
- international context: deficit must be financed by surpluses elsewhere (global zero-sum)

Evaluation / judgement:

- a persistent deficit is not automatically problematic — depends on what drives it and how it is financed

- urgent action may itself impose large costs; structural reform is usually preferable to demand compression
- the UK's track record suggests the deficit has been sustainable so far, but rising net foreign liabilities warrant attention
- strongest answers distinguish between benign and malign causes and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

END OF MARK SCHEME